Public Policy 2026-2027

Lecture 1: What is Public Policy and Why Should We Care?

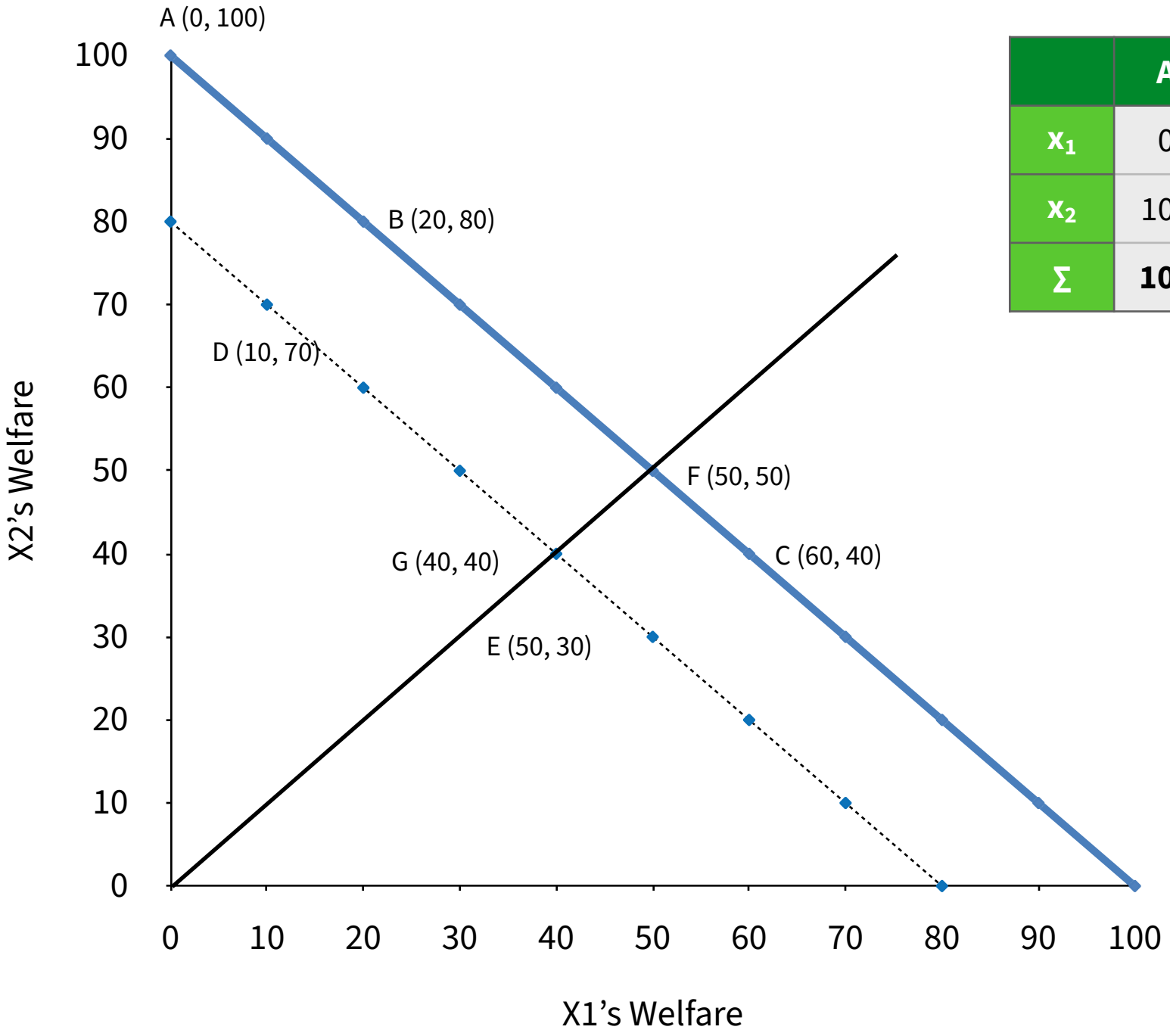
Wednesday, October 19, 2026
Stockholm School of Economics in Riga

Dominik Gerber | Associate Professor | dominik.gerber@sseriga.edu

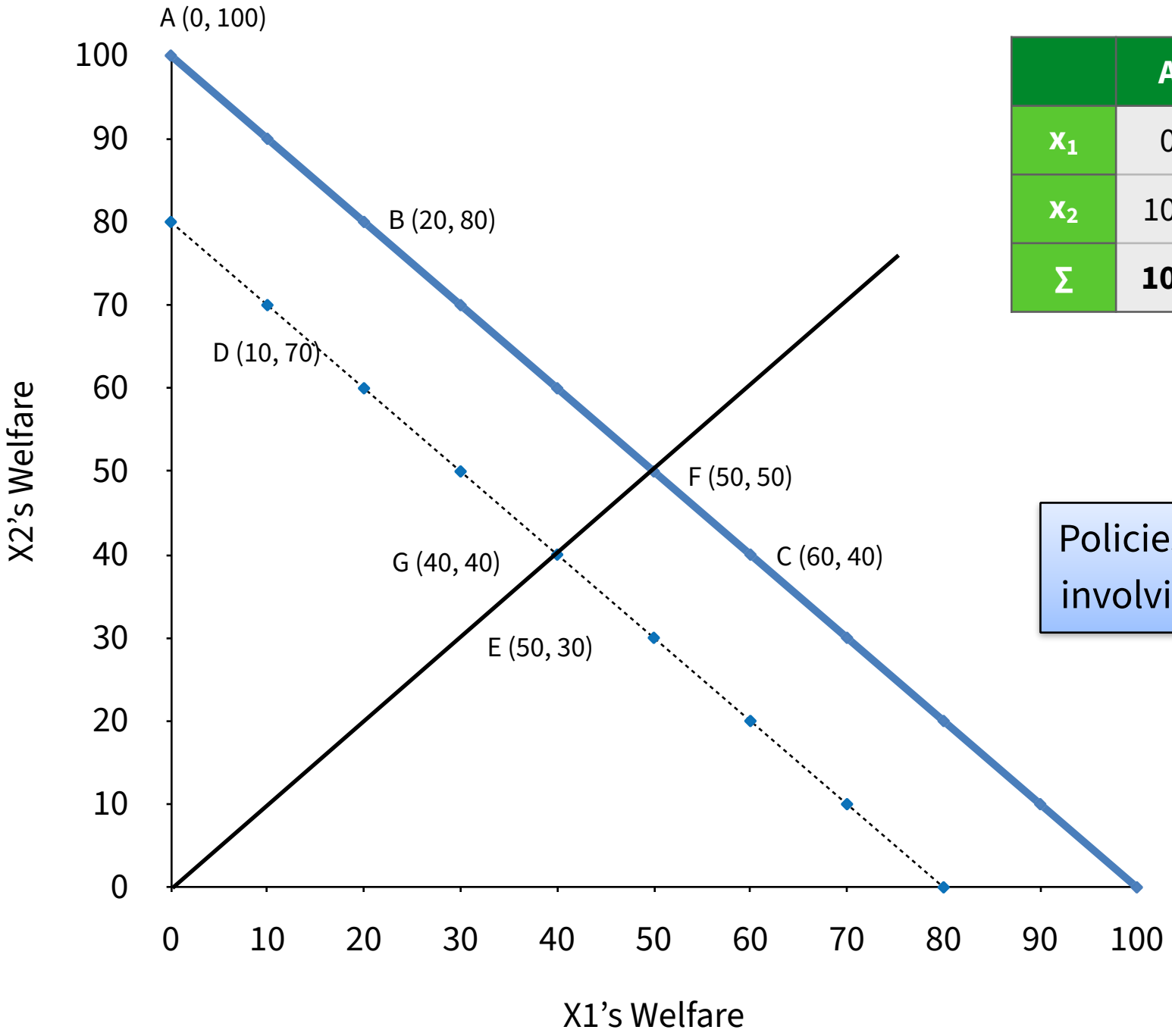
Split the Pie!



	A	B	C	D	E	F	G
x_1	0	20	60	10	50	50	40
x_2	100	80	40	70	30	50	40
Σ	**100**	**100**	**100**	**80**	**80**	**100**	**80**



	A	B	C	D	E	F	G
x_1	0	20	60	10	50	50	40
x_2	100	80	40	70	30	50	40
Σ	**100**	**100**	**100**	**80**	**80**	**100**	**80**



	A	B	C	D	E	F	G
x_1	0	20	60	10	50	50	40
x_2	100	80	40	70	30	50	40
Σ	**100**	**100**	**100**	**80**	**80**	**100**	**80**

Policies are **outcomes** of a **political process** involving both **cooperation** and **bargaining**

“Good” Policy? “Bad” Policy?

BUSINESS • AVIATION

Some Travelers Are Getting Paid Thousands to Give Up Their Plane Seats

7 MINUTE READ

BY NIK POPLI JULY 18, 2022 10:00 AM EDT

No traveler wants to be bumped from a flight—but what if you were offered $1,500? What about $10,000?

For some, the decision is a no-brainer. Eight travelers onboard an overbooked Delta flight from Grand Rapids, Mich. to Minneapolis, Minn. walked away $10,000 richer after they were asked to give up their seats in late June. Some may call these travelers lucky—or opportunistic—but compensation for overbooking is actually a common practice. Travelers at New York’s LaGuardia Airport were offered up to $3,000 this summer to deplane their flight to West Palm Beach, Fla., and it’s being reported at airports all across the world.

Time Magazine (July 18, 2022)

“Good” Policy? “Bad” Policy?

President Donald Trump delivers remarks on tariffs in the Rose Garden at the White House, April 2, 2025



© REUTERS/Carlos Barria/File Photo

“Good” Policy? “Bad” Policy?

“The widespread and untargeted reduction in effective loan interest payments that adoption of the draft law is envisaged to achieve could give rise to financial stability concerns. Bank profitability will be unduly lowered if borrowers who are able to make payments benefit from the compensation fee.”

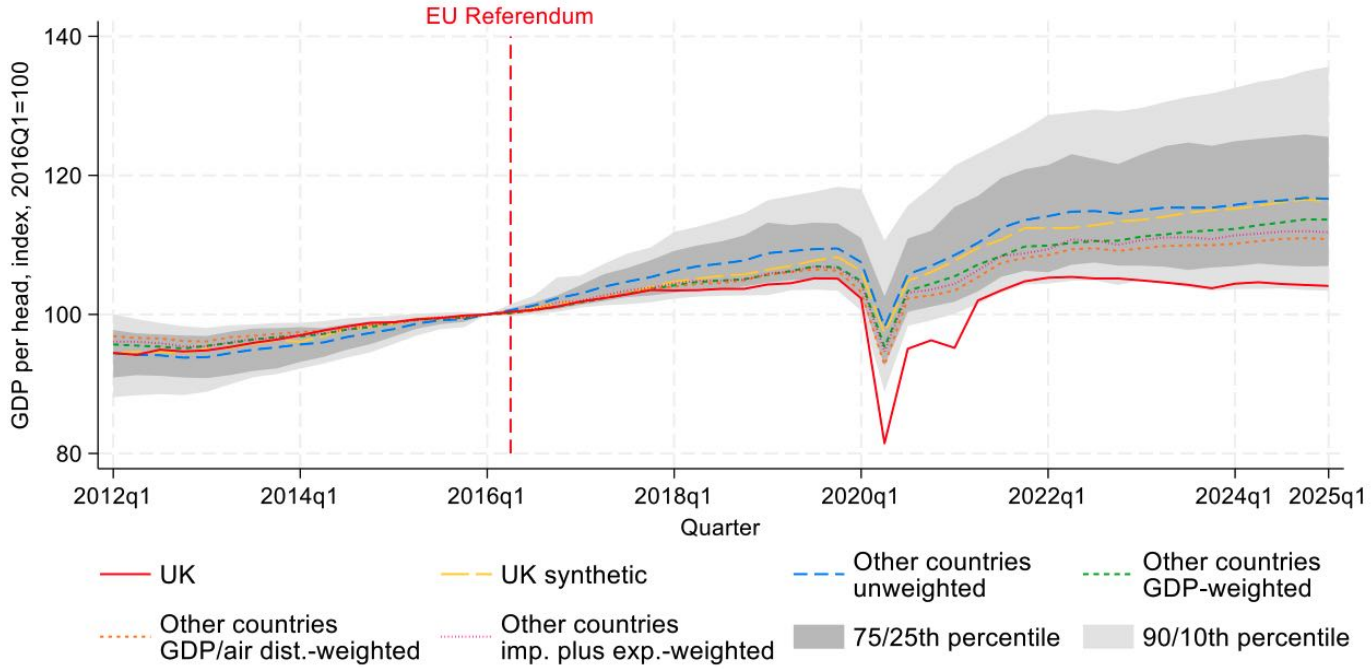
— Opinion of the European Central Bank of 11 December 2023



LSM (April 2, 2024)

“Good” Policy? “Bad” Policy?

Figure 1: GDP per capita cross-country comparison



Notes: The figure uses data on real gross domestic product per person in the population. Comparator countries are US, Canada, EU-27 countries, Iceland, Norway, Switzerland, and Japan. All series used in the calculations have been seasonally adjusted. The synthetic control method estimates the effect of the EU referendum on the UK's economy by comparing the evolution of GDP per capita for the UK to the evolution of GDP per capita for a synthetic control group. We use data starting from 2006Q1 up to the EU referendum (2016Q2, 41 periods) to obtain optimal weights that minimize the prediction error in the pre-referendum period. To predict UK GDP per capita in the pre-referendum period we used GDP per capita, trade openess, investment ratio, educational attainment, and industry share in value added. Due to highly volatile time series we excluded Cyprus and Malta. For Ireland we use a measure of modified domestic demand rather than GDP because of distortons in the headline GDP data. The country weights are: US: 0.614, EST: 0.109, GRE: 0.095, ITA: 0.067, IRE: 0.044, LAT: 0.034, ICE: 0.03, HUN: 0.007. Percentiles were estimated using the bootstrapping method. Sources: OECD, Irish Central Statistics Office and World Bank.



© Getty Images

© Nicholas Bloom, Philip Bunn, Paul Mizen, Pawel Smietanka, and Gregory Thwaites, "The Economic Impact of Brexit," NBER Working Paper 34459 (2025), https://doi.org/10.3386/w34459

What Is Public Policy?

Politics, Polity, and Policy

Polity

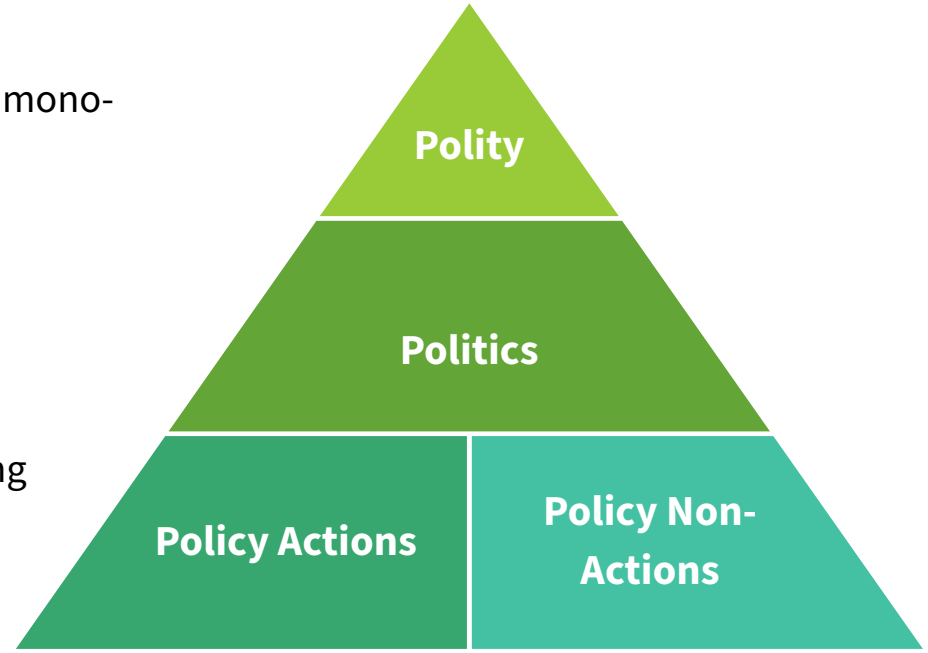
- Studies the (formal) institutional configuration of a political system.
- e.g. presidential or parliamentary democracy, constitutional review yes/no, bi-cameral or mono-cameral legislature…

Politics

- Harold Lasswell in 1936: *Politics: Who Gets What, When, How.*
- Politics studies decision-making processes under circumstances of conflict and scarcity.
- Traces the methods by which valued goods (economic goods, status, influence…) are being distributed.

Policy

- Studies the outputs of politics (the "who," "what," "when," and "how.")
- Action-oriented: "what should we collectively do or not do about X?"
- Inevitably affected by both politics and polity. See Otto von Bismarck (1815-1898): "Laws are like sausages, it is better not to see them being made."



Definitions of Public Policy

"…what public officials within government, and by extension the citizens they represent, choose to do or not to do about public problems." (Kraft & Furlong 2018, p.5)

"…simple instruments for the exercising of power and domination by one social group over another." (Knoepfel et al. 2007, p.22)

"…observable phenomena found in statutes, administrative guidelines, court decrees, programs, and even the practices and procedures of street-level bureaucrats." (Schneider & Ingram 1997, p.2)

"The sum-total of government action." (Cairney 2020, p.18)

Key Dimensions of a Public Policy

A public policy is…

1. a type of **general rule**, applied **in a binding way** to specific cases subject to discretion;
2. responding to a situation defined as a **public problem**;
3. typically directly related to an **action or intervention** (implemented, not merely formulated);
4. initiated by, provided by, directed by, and/or enforced by the **holders of legitimate power** (governments, legislatures, courts, bureaucracies, but sometimes even private organisations);
5. using a specific **instruments** through a dedicated **process**;
6. pursuing a clearly defined **objective** and **impact** (subject to evaluation).

Output: immediate result of the decision-making process
Outcome: response of the targets to a given policy
Impact: long-term change in behaviour (given a set objective)

Why Government Action?

Why Government Action?



Elon Musk hold a chainsaw as he arrives to speak at the Conservative Political Action Conference on February 20, 2025. © Jose Luis Magana, AP



Presidential candidate Javier Milei brandishes a chainsaw at a campaign event in La Plata, Argentina, on September 12, 2023. © Natacha Pisarenko, AP

Justifying Public Policy

Reasons for government intervention

1. Political reasons:

- Because people want the government to take action: pressure from public opinion and social movements (e.g. French cities in autumn 2026, LGBT, anti-nuclear movements in 1980s, Obamacare, Fridays for Future…).
- Europeanisation/ Internationalisation of a political issue (e.g. e-cigarettes, AML, domestic violence).
- Geopolitics (e.g. trade rules, sanctions)

2. Moral reasons

- "Even if people didn't want the government to take action, it ought to do it."
- e.g. basic social security, disaster relief, national apology, decarbonisation, military support for Ukraine…

3. Economic reasons

- "Because the free market isn't always efficient."
- Market failure, macroeconomic stabilisation, redistribution.

Economic Justifications of Government Intervention

Market Failures

Market Failure	Rationale of Failure	Example	Typical Instrument
Public good	Free-riding	National defence, basic research	Public provision, subsidies
Negative externality	Costs not borne by the producer	Pollution, congestion	Pigouvian tax, regulation, permits
Natural monopoly	Declining average costs	Water networks, rail infrastructure	Price regulation, public ownership
Information asymmetry	One side knows more	Medicine, used cars, fin. products	Disclosure, licensing, standards
Intertemporal problems	Myopia, missing future markets	Pension saving	Mandatory saving (e.g. 2nd pillar)

Economic Justifications of Government Intervention

Macroeconomic stabilisation

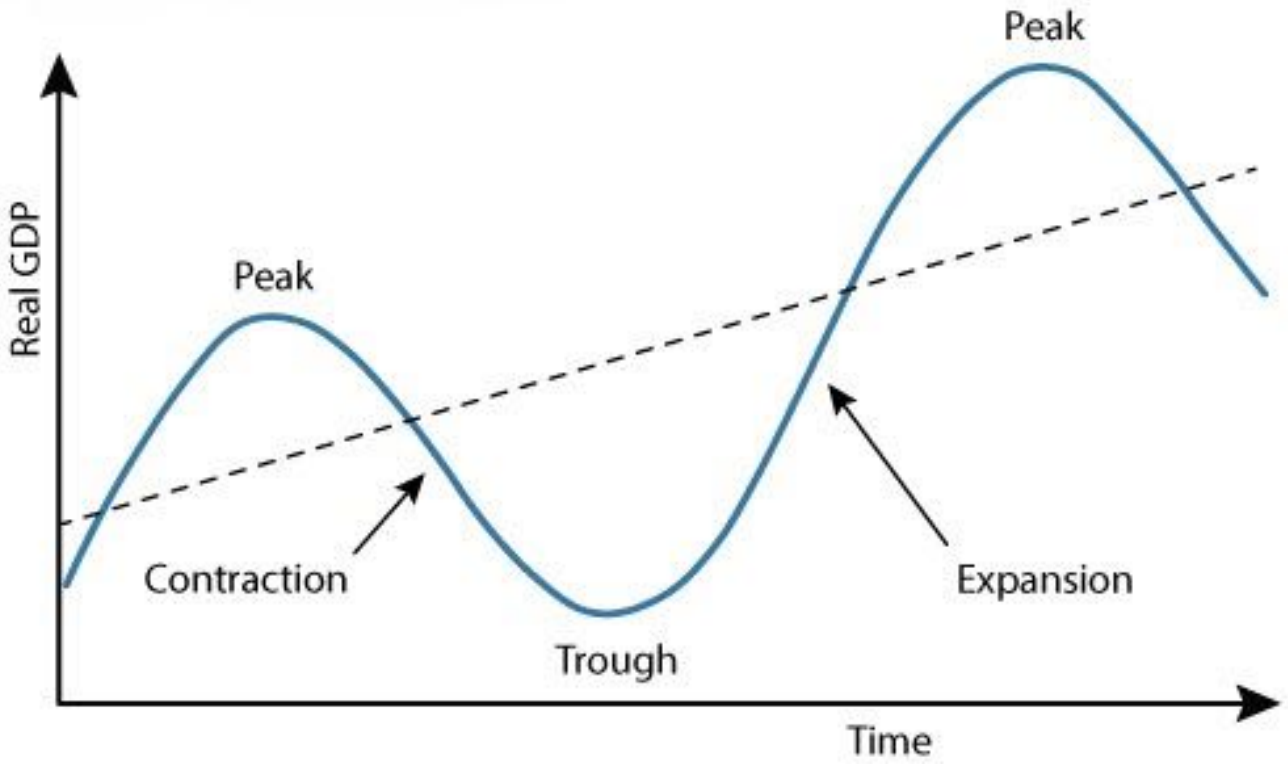
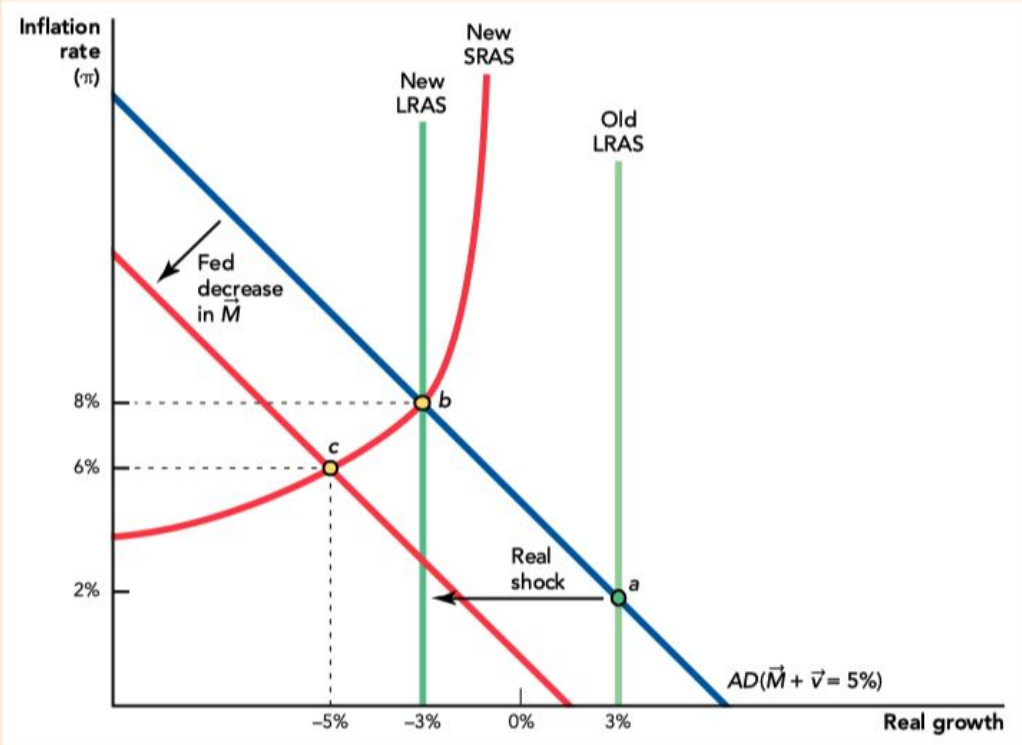


FIGURE 35.3

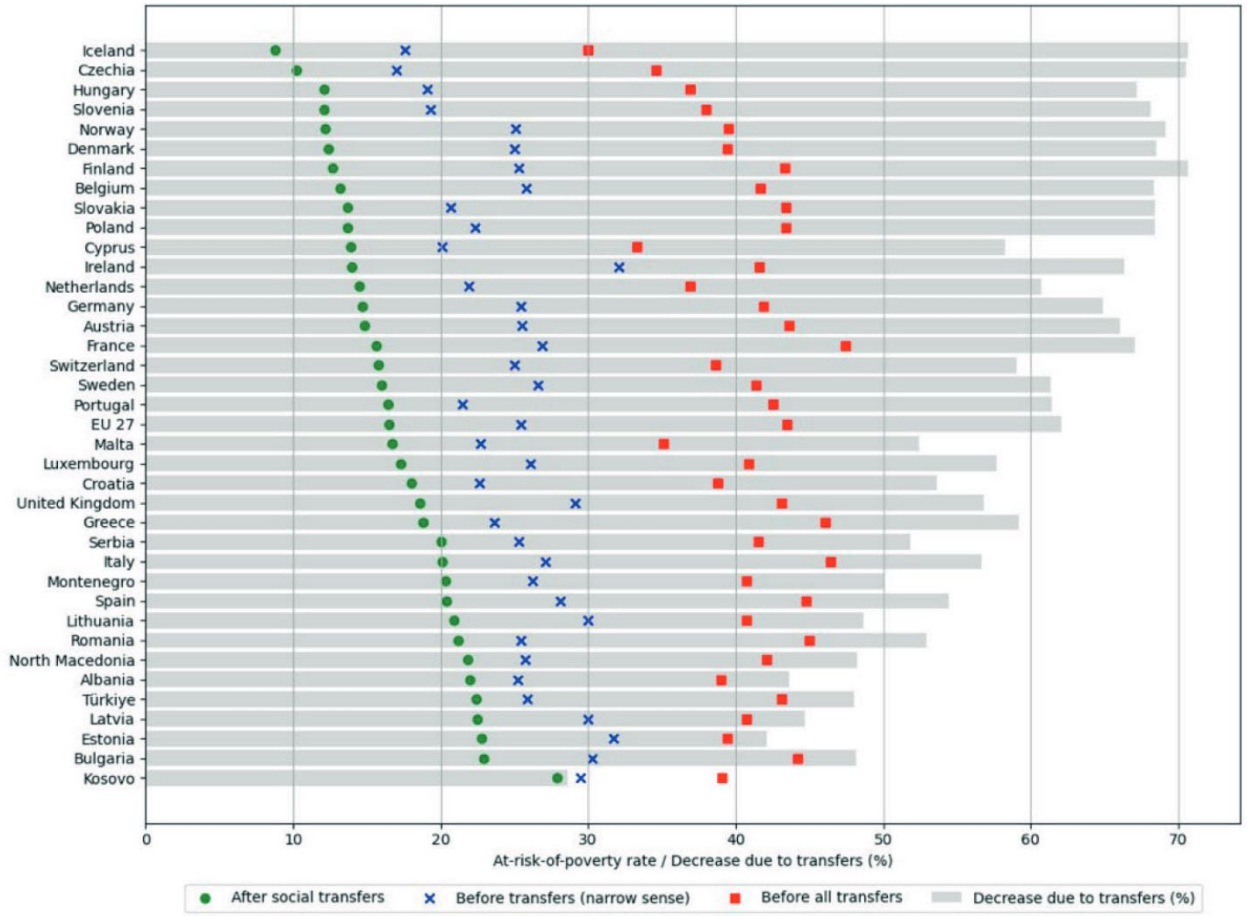


The Federal Reserve's Dilemma When Responding to a Real Shock (1) A real shock shifts the long-run aggregate supply (LRAS) curve to the left, moving the economy from point *a* to a recession at point *b*. If the Federal Reserve concentrates on the higher inflation rate, it may decide to reduce AD, with a cut in $\vec{M}$, moving the economy to point *c* with a lower inflation rate but an even lower growth rate. Note that for clarity we have suppresed the old SRAS curve running through point *a*.

Economic Justifications of Government Intervention

Rationales beyond efficiency

Figure 3a
At-risk-of-poverty rate before and after social transfers, total population, 2022

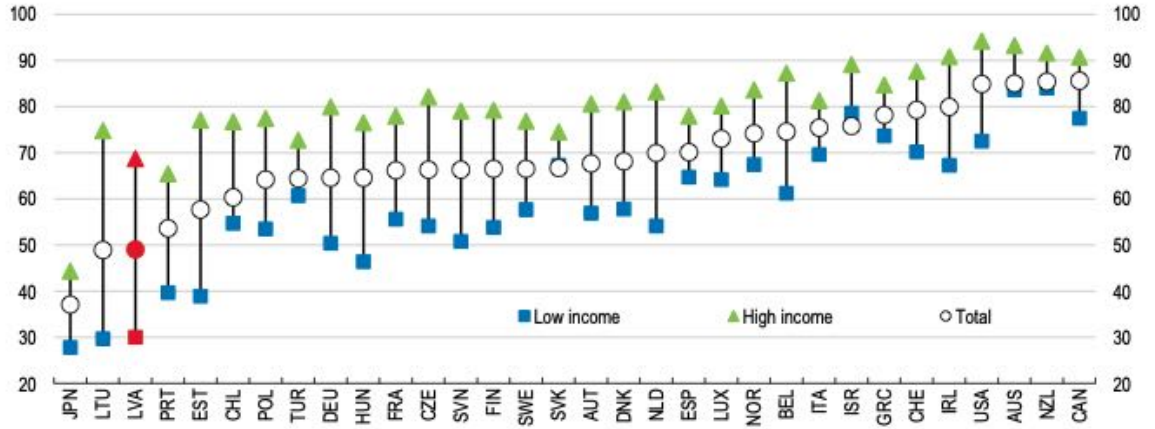


2022 or last available year. The at-risk-of-poverty threshold is set at 60% of the national median equivalized disposable income after social transfers. Social transfers in the narrow sense cover all social transfers excluding pensions and survivors' benefits, which are considered as household income.

Source: European Union Statistics on Income and Living Conditions (EU-SILC) (online data codes: ilc_li02, ilc_li09, ilc_li10).

Figure 3.4. Inequalities in health outcomes are large

Share of people aged 15 and over rating their own health as good or very good, by income quintile, 2024 or latest available year



Note: There are variations in categories used in survey questions across countries. This difference in response categories may introduce a comparative bias to a more positive self-assessment of health in those countries that use an asymmetrical scale (Australia, Canada, Chile, New Zealand and the United States).
Source: OECD Health Statistics database.

StatLink https://stat.link/93ydua

[OECD Economic Surveys: Latvia 2026]

Types of Public Policy

Important Typologies

1. Classification by policy fields: fiscal policy, environmental policy, health policy, energy policy, education policy…
2. Classification by political ideology: “progressive” vs. “conservative” policy; “isolationist” vs. “open”…
3. Classification by instruments.
4. Classification by underlying governance principles.
5. Classification by intensity of political conflict.

Classification by Instruments

INSTRUMENT	ACTION	EXAMPLES
Regulation	Government decrees that require or prevent individuals, corporations, and other units of government from doing something	• Laws enacted by the legislature • Rules adopted by the bureaucracy
Government management	Implementation of services or management of resources directly to citizens	• Education and defense • Municipal services like police and fire protection
Education, information, and persuasion	Education of citizens in an attempt to persuade them to behave in a certain way	• Appeal to support relief efforts after a disaster • Nutrition labeling to encourage healthy eating
Taxing and spending	The collection or expense of money to achieve policy goals	• Social Security to support the elderly in retirement • Cigarette tax to discourage smoking and raise revenue for other programs
Market mechanisms	Use of the market to provide the public with incentives to make choices or correct problems	• Revenue-neutral carbon tax to discourage the use of fossil fuel • Publication of the energy efficiency of appliances

Kraft & Furlong, 2017, 107

Classification by Underlying Governance Principle

Hood & Margetts' Typology

	Nodality	Authority	Treasure	Organisation
Basic Resource	Information	Law	Money	Structures and capacity
Governance rationale	Indirect stimulation of behavioural change through information and persuasion	'Command-and-control', direct prescription of behavioural rules	Indirect stimulation of behavioural change through financial incentives	Provision of public goods by the state or public enterprise
Typical instruments	Information campaigns, research funding, nudges	Prohibitions, bans, permits, standards, certifications	Taxes, user charges, grants, tax deductions	Public companies

Christopher Hood and Helen Margetts. 2007. *The Tools of Government in the Digital Age*. Palgrave Macmillan.

Classification by Political Conflictuality

Lowi's Typology

Likelihood for political conflict / scope of policy	Individual (direct)	Environment (general)
Low Conflict (low/indirect coercion, low public salience)	**Distributive policy** (e.g. subsidies, 'pork barrel' policies)	**Constituent policy** (e.g. creation of new agencies, change of voting procedures)
High Conflict (high/direct coercion, high public salience)	**Regulatory policy** (e.g. safety rules, environmental protection, consumer protection)	**Redistributive policy** (e.g. progressive taxation, territorial reform, pensions)

Theodore Lowi. 1962. "American Business, Public Policy, Case Studies and Political Theory." *World Politics* 16(4): 677-715.

Who Studies Public Policy?

Who Studies Public Policy?

Selected Disciplines That Contribute to the Study of Public Policy

Discipline	Description	Relationship to public policy	Some important journals
Political science	The study of political relationships; that is, the study of the processes by which societies seek to allocate political power and the benefits of such power.	The political process is the process through which policies are made and enforced.	*American Political Science Review*, *American Journal of Political Science*, *The Journal of Politics*, *Polity*, *Political Research Quarterly*, *Public Opinion Quarterly*
Sociology	"Sociology is the study of social life, social change, and the social causes and consequences of human behavior. Sociologists investigate the structure of groups, organizations, and societies, and how people interact within these contexts."*	Community and group activities are an important part of policymaking, because groups of people often form to make demands.	*American Sociological Review*, *Contemporary Sociology*, *American Journal of Sociology*
Economics	The study of the allocation of resources in a community, however defined. Economists study markets and exchanges. Welfare economists seek to understand the extent to which an overall community's welfare can be maximized.	There are many economic factors that influence public policy, such as economic growth, productivity, employment, and the like. The tools of economics are often used to promote policies or to explain why policies succeed or fail.	*American Economic Review*, *Econometrica*, *Journal of Applied Economics*, *Journal of Political Economy*

(Continued)

Discipline	Description	Relationship to public policy	Some important journals
Public administration (PA)	The study of the management of government and nonprofit organizations, including the management of information, money, and personnel in order to achieve goals developed through the democratic process.	The management of public programs is an integral part of the policy process. PA scholars study the motivation of program implementers and targets and help research innovations to improve service delivery.	*Public Administration Review*, *Journal of Public Administration Research and Theory*
Policy analysis	The study of what governments choose to do or not to do, including studies of the policy process, policy implementation and impact, and evaluation.	We give this label to the highly interdisciplinary study of the public policy process. Policy scholars develop theories about how the policy process works and develop tools and methods to analyze how policy is made and implemented.	*Journal of Policy Analysis and Management*, *Journal of Policy History*, *Journal of Public Policy*, *Policy Studies Journal*, *Review of Policy Research*, *Policy and Society*, *Policy & Politics*

*Department of Sociology, Case Western Reserve University, https://sociology.case.edu/what-is-sociology/, Accessed May 15, 2025.

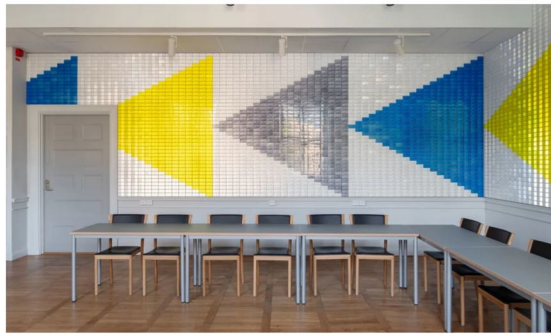
Thomas A. Birkland. 2026. *An Introduction to the Policy Process*. 6th Edition. Routledge. pp-17-18

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12:00 midday UK time on Wednesday 2 December 2026

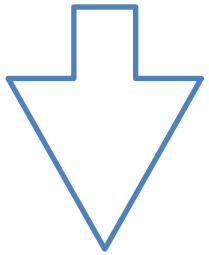
How We Will Study Public Policy?

Two Basic Ways to Study Public Policy

		Primary Audience	
		Client ("study *for* policy")	**Epistemic Community ("study *of* policy")**
Primary Focus	What	Policy analysis (narrowly defined)	Policy research / policy studies
	How	Stakeholder analysis	Policy process research

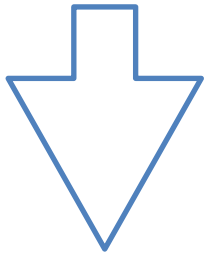
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Policy as a **profession**

Main job for the **policy advisor**



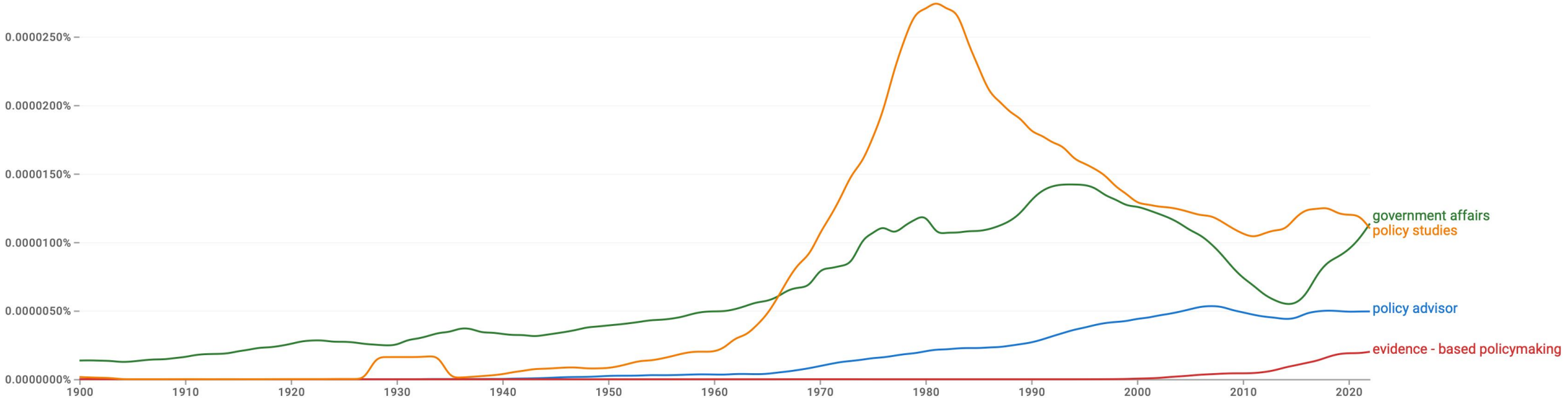
Policy as a **science**

Main job for the **academic**

Professionalisation of Policy as a Science

…and the birth of the policy advisor/ government relations specialist

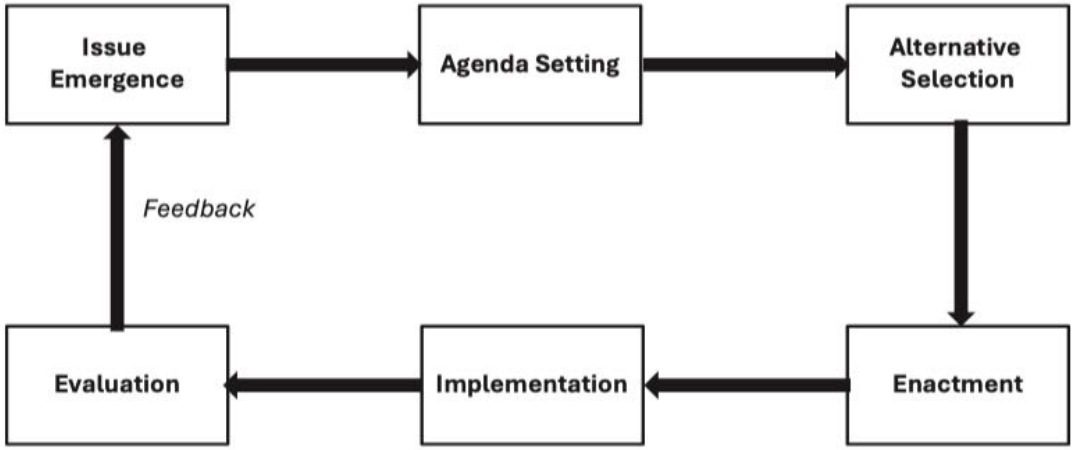
1. Harold Lasswell initiated the policy sciences of democracy in T*he Policy Sciences* (1951).
2. Post-WWII and Cold War: increasing concern with democratic accountability and the quality of government.
3. 1960s-1990s: proliferation of professional policy advisors across government departments and think tanks (“spin doctors”).
4. Since 2000s: increasing disappointment vis-à-vis ability of policy advisors to deal with complexity of large-scale social problems (e.g. war on poverty in the US, financial crisis of 2007/2008, Covid-19) and evidence-based policymaking.



Public Policy as Rational Problem-Solving

"Take control of the problem, then solve the problem"

The Policy Cycle



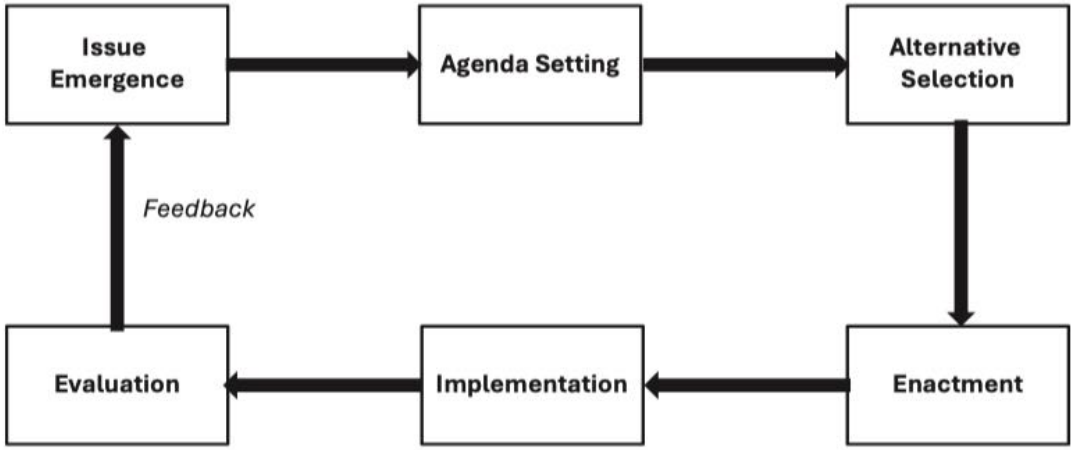
Public Policy as Rational Problem-Solving

"Take control of the problem, then solve the problem"

When does a social problem become a policy problem?

- Short answer: when elites say it is so.
- Long answer: policy problems are born throughout the policy process: they compete with each other to become a policy concern and are sometimes created strategically, out of "thin air."

The Policy Cycle



Public Policy as Rational Problem-Solving

"Take control of the problem, then solve the problem"

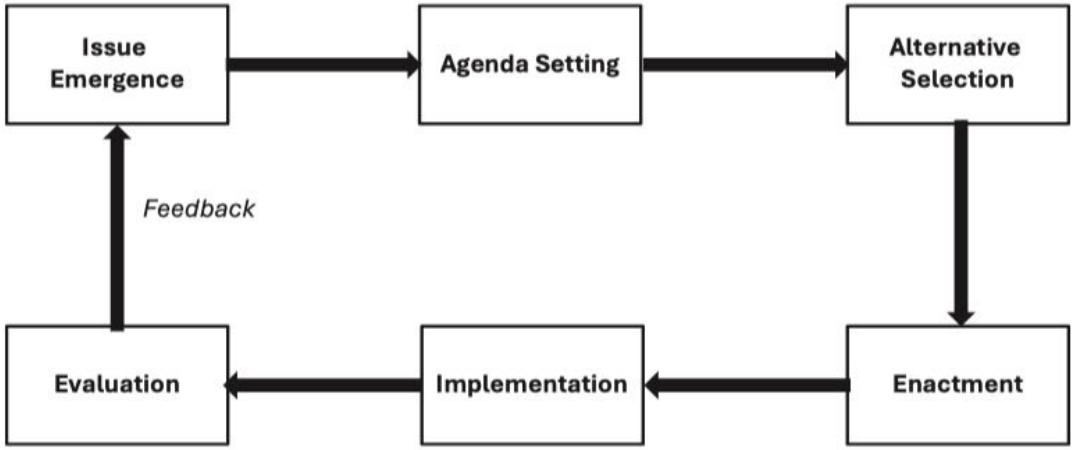
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When does a policy problem go away?

- Short answer: probably never, once "found," a policy problem tends to stick around.
- Long answer: policy problems tend to stick around because they often create their own constituencies and even if they are resolved they often create further problems (e.g. better health for the elderly causes a pension crisis), which again create constituencies and so on…

The Policy Cycle



Public Policy as Rational Problem-Solving

"Take control of the problem, then solve the problem"

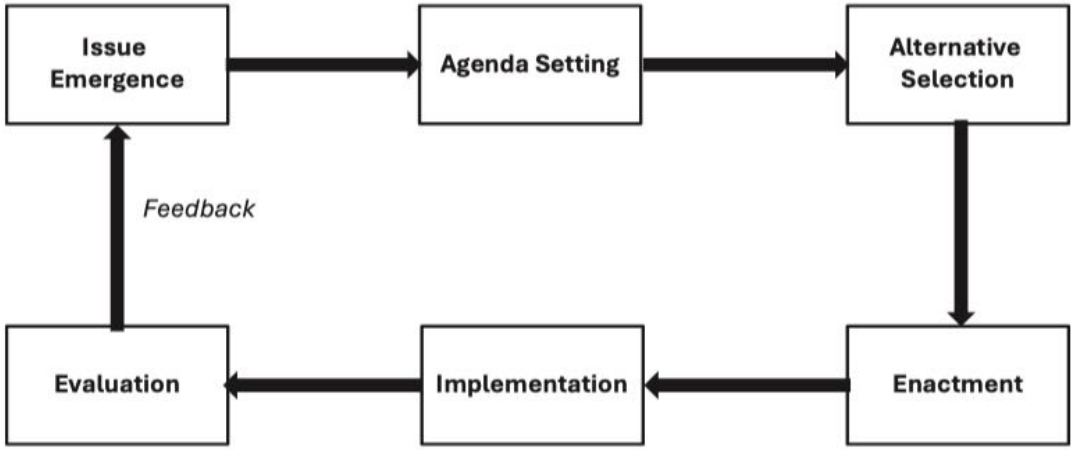
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The Policy Cycle



The rationalist approach prescribes an **ideal conception** of how policy-making should be organised and evolve in order to achieve optimal solutions to the underlying policy problems.

The Rationality Assumption Challenged

Bounded rationality? Or no rationality at all?



Trump's Truth Social response to the No Kings protests. 19.10.2025

The Rationality Assumption Challenged

Bounded rationality? Or no rationality at all?

JOURNAL ARTICLE

The Science of "Muddling Through"

Charles E. Lindblom

Public Administration Review, Vol. 19, No. 2 (Spring, 1959), pp. 79-88 (10 pages)

https://doi.org/10.2307/973677 · https://www.jstor.org/stable/973677

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The Science of "Muddling Through"

By CHARLES E. LINDBLOM

Associate Professor of Economics
Yale University



Trump's Truth Social response to the No Kings protests. 19.10.2025

The Rationality Assumption Challenged

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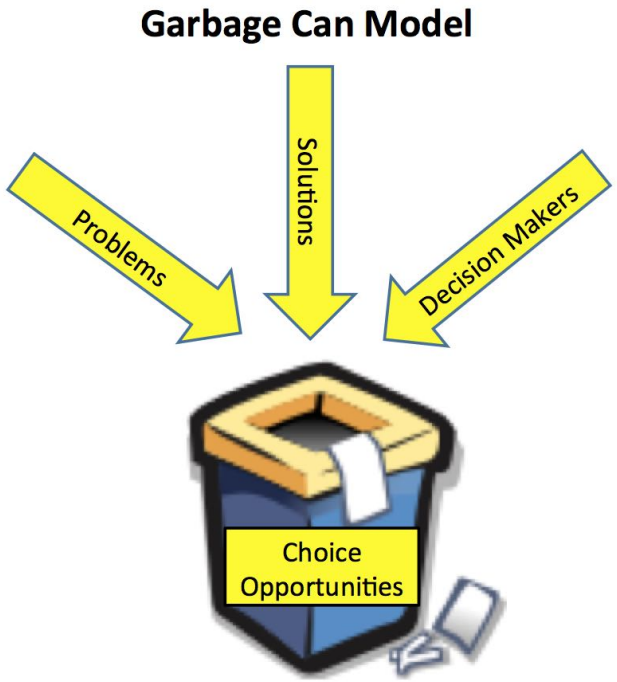
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Why Should We Care?

SSE's Educational Aims: The FREE Concept

(Since 2019)

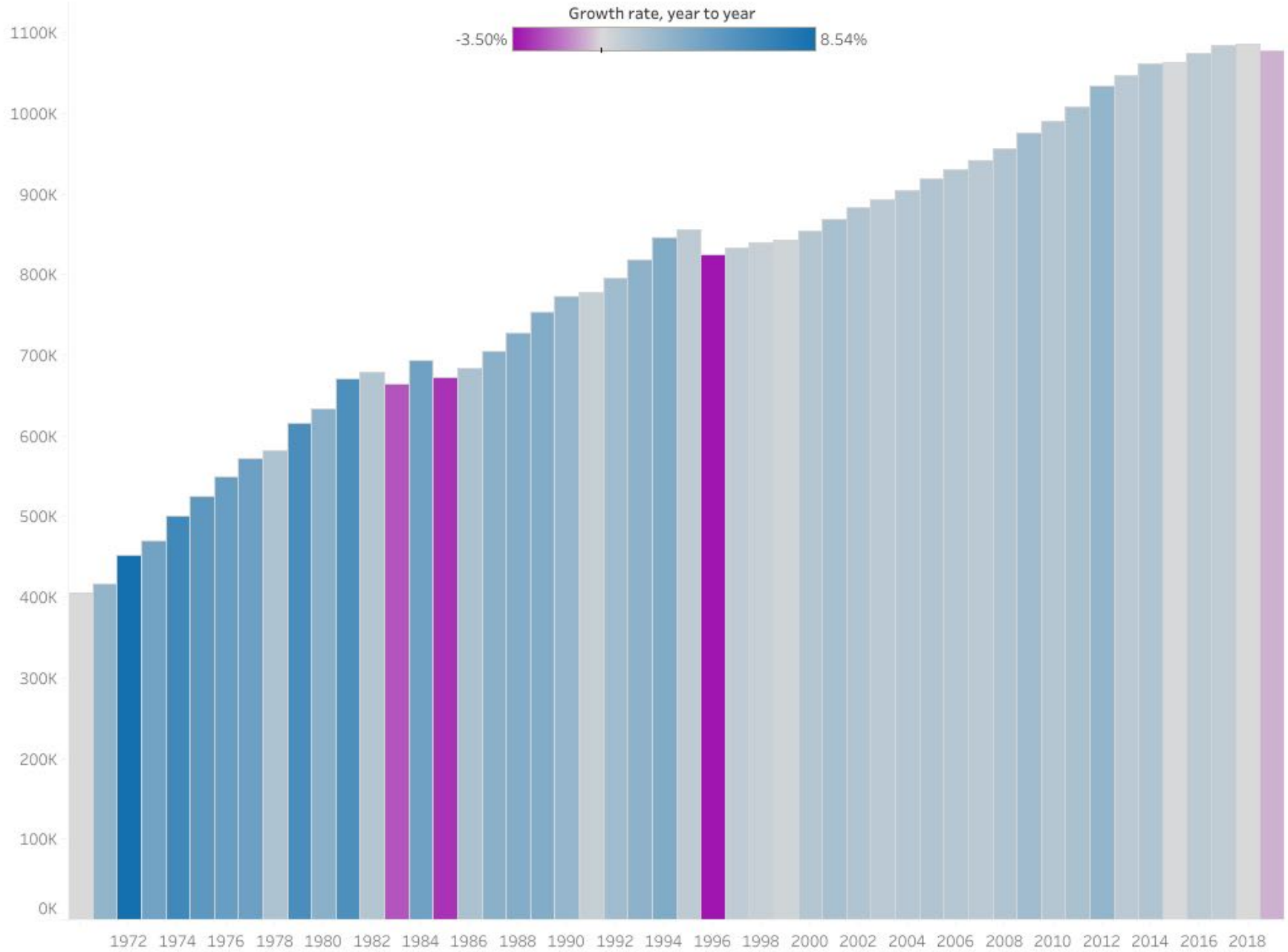
F Fact- & science-minded

R Reflective & self-aware

E Empathetic & culturally literate

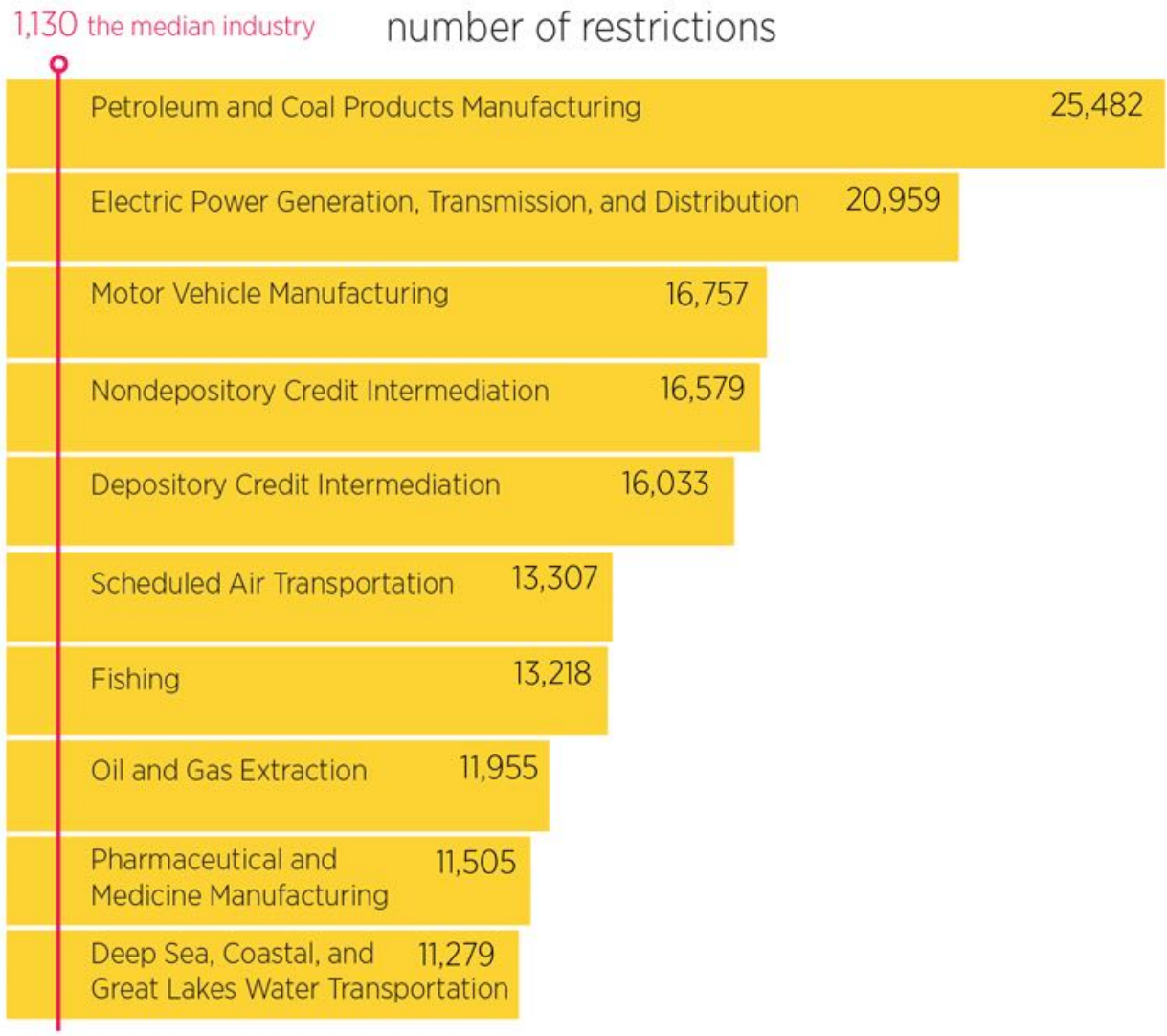
E Entrepreneurial & responsible

Growth of federal regulatory restrictions over time, 1970 - 2019



© QuantGov / RegData

The McLaughlin-Sherouse List: The 10 Most-Regulated Industries in 2014



MERCATUS CENTER
George Mason University

Source: RegData 2.2 from RegData.org.

Why Care About Public Policy?

1. Business, finance, markets, firms etc. do not operate in a vacuum — policy is everywhere, no escape!
2. Markets and governments are not separate worlds: firms respond to regulation, and regulation responds to firms. Effective leaders understand how the public sector thinks and decides — what happens "on the other side."
3. Public procurement, EU funds, subsidies and PPPs are large revenue sources. Knowing how public money is allocated matters.
4. To better understand how/why/when market solutions offer superior answers to economic issues you need to understand exactly how/when/why government interventions can go wrong.
5. Opening the black box of public policy-making allows to gain some realistic insights to counter unfounded assumptions/opinions about how a modern economy works.

If you don't do public policy, public policy "does" you!

Course Practicalities

Course Structure

See the course outline for all details!

PART I: FUNDAMENTALS OF PUBLIC POLICY

Lecture 1: What is Public Policy and Why Should We Care?

Lecture 2: Institutions and Actors

Lecture 3: State-Society Relations

Lecture 4: Multi-Level Governance

PART II: RATIONALES FOR PUBLIC POLICY

Lecture 5: Efficiency

Lecture 6: Market Failures

Lecture 7: Fairness

Lecture 8: Government Failures

Lecture 9: Correcting Market & Government Failures

PART III: PRODUCING POLICY

Lecture 10: Guest Lecture by Vladlens Kovalevs (VA Government / Rud Pedersen Group)

Lecture 11: Agenda-Setting

*****Mid-term Exam*****

Lecture 12: Policy Adoption

Lecture 13: Policy Implementation

Lecture 14: Policy Evaluation

PART IV: CONTEMPORARY CHALLENGES

Lecture 15: Guest Lecture by Bo Kragh (former VP of Svenska Handelsbanken)

Lecture 16: Coping with Uncertainty

Lecture 17: Regulating Emerging Technologies

Lecture 18: Populism and the Attack on Public Service

Lectures 19: Demographic Policy I (by Prof. Zane Varpina, SSE Riga)

Lecture 20: Demographic Policy II (by Prof. Zane Varpina, SSE Riga)

*****Final Exam*****

Lectures

Please refer to the official SSE Riga schedule for the exact times! Times and room allocation may be subject to change at short notice.

- Main purpose: delivering the necessary information for realising the course's learning objectives.
- Lecture attendance is not mandatory.
- In order to participate in the in-class quizzes, you need to bring an electronic device with internet connectivity.
- Unless otherwise instructed, you may use electronic devices **for note-taking purposes only.**

Seminars

Please refer to the official SSE Riga schedule for the exact times! Times and room allocation may be subject to change at short notice.

- Main purpose: deepening & applying the material delivered in the lectures and in the required readings; shaping your skills in policy analysis using mini-case studies.
- Four seminars, led by course director.
- Seminar attendance is not mandatory.

Course Evaluation

Three components:

1. **In-class quizzes**: Answer up to five multiple-choice questions per lecture (readings, course material) using menti.com (anonymously). The three lowest per-lecture averages will be dropped. 20% of the overall grade.
2. **Mid-term exam**: Multiple-choice (open-book), covering the material from the lectures and from the mandatory readings. Duration: 1h. 20% of the overall grade.
3. Comprehensive **final exam** (open-book), covering the material from **all** the lectures and required readings. Duration: 3h. 60% of the overall grade.
    a. Part 1: multiple-choice questions
    b. Part 2: short questions (<150 words)
    c. Part 3: one long question (<700 words)

Thank You